STANDARD VI(A): APPLICATION OF THE STANDARD

Example 1 (Conflict of Interest and Business Relationships):

Henry Weiss is a research analyst with Williamsburg Company, a broker and investment banking firm. Williamsburg's merger and acquisition department has represented Jimco, a conglomerate, in all of Jimco's acquisitions for 20 years. From time to time, Williamsburg officers sit on the boards of directors of various Jimco subsidiaries. Weiss is writing a research report on Jimco.

> *Comment*: Weiss must disclose in his research report Williamsburg's special relationship with Jimco. Broker/dealer management of and participation in public offerings must be disclosed in research reports. Because the position of underwriter to a company entails a special past and potential future relationship with a company that is the subject of investment advice, it threatens the independence and objectivity of the report writer and must be disclosed.

Example 2 (Conflict of Interest and Business Stock Ownership):

The investment management firm of Dover & Roe sells a 25% interest in its partnership to a multinational bank holding company, First of New York. Immediately after the sale, Roy Hobbs, president of Dover & Roe, changes her recommendation for First of New York's common stock from "sell" to "buy" and adds First of New York's commercial paper to Dover & Roe's approved list for purchase.

> *Comment*: Best practice would be for Hobbs to discontinue research coverage of First of New York because the new ownership interest in this company creates a conflict of interest. At minimum, Hobbs must disclose the new relationship with First of New York to all Dover & Roe clients. Hobbs must also require the ownership interest to be disclosed to clients by the firm's portfolio managers when they make specific investment recommendations or take investment actions with respect to First of New York's securities.

Example 3 (Conflict of Interest and Personal Stock Ownership):

Karl Fargmon, a research analyst who follows firms producing office equipment, has been recommending purchase of Kincaid Printing because of its innovative new line of copiers. After his initial report on the company, Fargmon's wife inherits from a distant relative US$3 million of Kincaid stock. One year after his initial report on the company, Fargmon is asked to write a follow-up report on Kincaid.

> *Comment*: At minimum, Fargmon must disclose his wife's ownership of the Kincaid stock to his employer and in his follow-up report. Best practice is to avoid the conflict by asking his employer to assign another analyst to draft the follow-up report.

Example 4 (Conflict of Interest and Personal Stock Ownership):

Julie Roberts is speculating in penny stocks for her own account and purchases 100,000 shares of Drew Mining, Inc., for US$0.30 a share. She intends to sell these shares at the sign of any substantial upward price movement of the stock. A week later, her employer asks her to write a report on penny stocks in the mining industry to be published in two weeks. Even without owning the Drew stock, Roberts would recommend it in her report as a "buy." A surge in the price of the stock to the US$2 range is likely to result once the report is issued.

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the report despite the conflict, Roberts must disclose the conflict in her report.

Example 5 (Conflict of Interest and Compensation Arrangements):

Sarah Snead, a portfolio manager for Thomas Investment Counsel, LLC, specializes in managing public retirement funds and defined benefit pension plan accounts, all of which have long-term investment objectives. A year ago, Snead's employer, in an attempt to motivate and retain key investment professionals, introduced a bonus compensation system that rewards portfolio managers on the basis of quarterly performance relative to their peers and to certain benchmark indexes. In an attempt to improve the short-term performance of her accounts, Snead changes her investment strategy and purchases several high-beta stocks for client portfolios. These purchases are seemingly contrary to the clients' investment policy statements (IPSs). No change in objective or strategy has been recommended by Snead during the year.

Comment: Snead has violated Standard VI(A) by failing to inform her clients of the changes in her compensation arrangement with her employer, which created a conflict of interest between her compensation and her clients' IPSs. Firms may pay employees on the basis of performance, but pressure by Thomas Investment Counsel to achieve short-term performance goals conflicts with the requirement to take only investment actions that are consistent with the objectives of Snead's accounts.

Example 6 (Conflict of Interest and Compensation Arrangements):

Kevin Carter is a representative with Bengal International, a registered broker/dealer. Carter is approached by a stock promoter for Badger Company, who offers to pay Carter additional compensation for sales of Badger Company's stock to Carter's clients. Carter accepts the stock promoter's offer but does not disclose the arrangement to his clients or to his employer. Carter sells shares of the stock to his clients.

Comment: Carter has violated Standard VI(A) by failing to disclose to clients that he is receiving additional compensation for recommending and selling Badger stock. At minimum, Carter must disclose the arrangement with Badger to his clients so they may evaluate whether Carter's recommendations to buy Badger were affected by this arrangement. Best practice is for Carter to avoid this conflict of interest altogether by declining the offer of additional compensation from Badger Company.

Example 7 (Conflict of Interest and Requested Favors):

Henri Papis is the chief investment officer of his state's retirement fund. The fund has always used external managers for the real estate allocation, and this information is clearly presented in all fund communications. Eric Nagle, a recognized sell-side research analyst and Papis's business school classmate, recently left the investment bank he worked for to start his own asset management firm, Accessible Real Estate. Nagle is trying to build his assets under management, and he contacts Papis about gaining some of the retirement fund's real estate allocation. In the previous few years, the performance of the retirement fund's real estate investments was in line with the fund's benchmark but was not extraordinary. Papis decides to help out his old friend and also to seek better returns by moving the real estate allocation to Accessible. The only notice of the change in managers appears in the next annual report in the listing of external managers.

Comment: Papis has violated Standard VI(A) by not disclosing to his employer his personal relationship with Nagle. Disclosure of his past history with Nagle would allow his firm to determine whether the conflict may have impaired Papis's independence in deciding to change external managers.

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JG

Example 4 is confusing, Roberts is asked to write a report on Penny Stocks on the mining industry, they do not specify that the report should be about Drew Mining. The comment/explanation for this case is based on that Roberts was asked to make a research of Drew Mining (she actually was asked to cover the industry not the company). They do not explain if there is a conflict of interest when writing a report on a indsutry as a whole that is in the universe of the stock she is buying.

Created 8 months ago by Jose Gabriel Valderrama Campuzano

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